

The table below shows the premium rates under the Motor Tariff for motor policies issued in Peninsular Malaysia, Sabah and Sarawak.

Engine capacity not exceeding (cc)	Peninsular Malaysia		Sabah and Sarawak	
	Comprehensive policy (RM)	Third party policy (RM)	Comprehensive policy (RM)	Third party policy (RM)
1 400	273.80	120.60	196.20	67.50
1 650	305.50	135.00	220.00	75.60
2 200	339.10	151.20	243.90	85.20
3 050	372.60	167.40	266.50	93.60
4 100	404.30	181.80	290.40	101.70
4 250	436.00	196.20	313.00	110.10
4 400	469.60	212.40	336.90	118.20
Over 4 400	501.30	226.80	359.50	126.60

* For comprehensive policy, the rate charged is for the first RM1 000 of the sum insured

Source: Schedule of Motor Tariff 2015

The formulae to calculate the basic premium of the comprehensive policy:

- (i) For Peninsular Malaysia, the basic premium
= Rate for the first RM1 000 + RM26 for each RM1 000 or part thereof on value exceeding the first RM1 000
- (ii) For Sabah and Sarawak, the basic premium
= Rate for the first RM1 000 + RM20.30 for each RM1 000 or part thereof on value exceeding the first RM1 000



Visit the General Insurance Association of Malaysia (PIAM) website for more information on general insurance services in Malaysia.
<http://www.piam.org.my/>

Example 3

Encik Ramli owns and uses a Proton Exora 1.6 in Peninsular Malaysia. The information of the car is as follows:

Sum insured	: RM60 000
Age of vehicle	: 5 years
Engine capacity	: 1 600 cc
NCD	: 25%



Calculate the gross premium for Encik Ramli's car under the comprehensive policy, the third party, fire and theft policy, and the third party policy.

Solution:

For comprehensive policy:

(a) The first RM1 000	RM305.50
(b) $RM26 \times 59$ (each RM1 000 balance)	RM1 534
(c) Basic premium = (a) + (b)	RM1 839.50
(d) NCD 25%	RM459.88
(e) Gross premium = (c) – (d)	RM1 379.62

Refer to the table.

$$\frac{60\,000 - 1\,000}{1\,000} = 59$$

$$0.25 \times 1\,839.50 = 459.88$$

For third party, fire and theft policy:

(a) Basic premium	RM1 379.63
(b) NCD 25%	RM344.91
(c) Gross premium = (a) – (b)	RM1 034.72

$$0.75 \times 1\,839.50 = 1\,379.63$$

$$0.25 \times 1\,379.63 = 344.91$$

For third party policy:

(a) Basic premium	RM135.00
(b) NCD 25%	RM33.75
(c) Gross premium = (a) – (b)	RM101.25

Refer to the table.

$$0.25 \times 135.00 = 33.75$$

Info Bulletin

No Claim Discount (NCD) clause will be issued if no claim is made against your policy within the period of coverage before the policy renewal is made. As such, the premiums payable can be reduced by your NCD eligibility. You will lose your entire NCD eligibility when a personal or third-party claim is made against your policy. NCD eligibility depends on your vehicle class and the number of years of continuous driving experience without claim.

However, the premiums payable may differ from the actual value of the premiums that the insurance company may charge. There are additional charges which are payable by the policyholder such as commission to the agent, service tax and stamp duty.

Self Practice 3.1b

- The table below shows some of the benefits of personal accident insurance offered by *Syarikat Insurans RST*.

Benefit	Total coverage (RM)	Annual premium based on occupation	
		Class 1 & 2 (RM)	Class 3 (RM)
Accidental death	100 000	364.75	1 065.40
Total and permanent disability	200 000		
Permanent disability	150 000		

- * Class 1 – Occupation in low risk industries and in office.
- * Class 2 – Occupation involving non-manual works with semi-hazardous industry.
- * Class 3 – Occupation involving manual works and use of tools or machinery.

In your opinion, what makes the premium for class 3 occupation higher than class 1 and class 2?